

On a ROLL

The Maruti 800 made it possible for Middle India to dream of owning a car without an out-of-turn allotment. It's a transformation that will be complete when Tata Motors launches the Rs 1-lakh car.



The Indian automobile industry, with a turnover of \$37 billion (Rs 1,48,000 crore) in 2005 is growing annually at a rate of 18-20 per cent and by 2015, the market for cars is set to hit 3.3 million units, says the Society of Indian Automobile Manufacturers. Immediately after Independence, cars were considered a luxury, manufacturing was licensed and everything, down to the size of the vehicle, was regulated by the government. Growth happened in the mid-'80s with liberalisation and the company signed a joint venture with Suzuki Motors of Japan. Import duties and tariffs came down with de-licensing in the mid-'90s and global players like General Motors, Ford, DCM Toyota, Daimler Chrysler, Honda, Skoda and Hyundai rushed in. In 1998 the small car market got a boost when Hyundai launched the Santro and Tata Motors launched the Indica. The

SANJAY SIKAND, student, 1987

"We have seen movies with fancy cars. Now that there is a sporty looking car, we want it."

next big leap happened with landmark policy reforms in 2001 when quantitative restrictions were removed and 100 per cent FDI permitted.

Today luxury car makers—Porsche, Lamborghini and Bentley—too, are setting up offices in India. The industry expects to attract investment of \$35-40 billion (Rs 1,40,000 to 1,60,000 crore) by 2016. Former managing director of Maruti, Jagdish Khattar, says, "What is important is that the Swift has broken new ground. It was the first time that Indians worked on developing a car that would be sold in China and it reached 85 per cent level localisation—a first for a car manufactured in India."

All eyes are now on the Auto Expo in Delhi in 2008 where the world's cheapest car—the Rs 1-lakh car by Tata Motors—will be unveiled. Will it change the industry dynamics? Will it be the next "people's car"? For the Indian automobile industry, life has come a full circle. ■